INVESTMENT COMMITTEE MEMO | EVENT-DRIVEN / SPECIAL SITUATIONS

Elis SA

ELIS FP · Euronext Paris · Textile rental, hygiene and facility services

A capital-intensive compounder priced as a value trap: 11x headline earnings, ~8% FCF yield and a ~20% Brazilian family holder, with the OCEANE soft call and Q3 revenue as near-term tests.

BUY	€26	€21.26	€17 / €33	€30–38
Recommendation (medium conviction)	Target price, +22%	Price, close 9-Oct-2026	Bear / bull value	Takeover value

12 October 2026 · Sources: S&P Global Capital IQ and ProntoNLP only (no web). Figures link to source documents; see the data-provenance file for every connector call.

RECOMMENDATION

BUY, target €26 (+22%): the de-rating has run ahead of the fundamentals

BUY · €26	5.2x	11.3x	~8%	2.09x	−25%
12-month target (+22%); probability-weighted €25	EV / LTM adjusted EBITDA [calc]	P/E on LTM headline diluted EPS [calc]	FCF yield on equity, after leases [calc]	Net debt / EBITDA at 30-Jun-2026 (covenant 3.75x)	From the 3-Jul-2026 high of €28.20

Why now: four things converge

- **De-rating done:** −24.6% from the July high; H1 call sentiment the lowest since 2020, yet guidance confirmed [#292].
- **Capital returns at scale:** €466.8m bought back at €26.25 in H1 2026 (7.6% of capital); all cash beyond bolt-ons returned [#493].
- **OCEANE soft call from 13-Oct-2026:** conversion cuts net debt ~€362m at no cash cost, leverage to ~1.65x [#517].
- **~20% strategic holder:** Moreira Salles family bought CPP's block at €25.00 (Feb-2026), 18% above today [#6728].

What has to go right

- Q3 revenue (28-Oct) shows the promised H2 organic acceleration despite Mexico (~€14m headwind).
- 2027 indexation restores margin expansion ("super nice price increase") [#472].
- H2 free cash flow of ~€390m+ after the −€30m H1; the OCEANE converts.
- No large leveraging US acquisition (the 2024 talks cost 21% in four days).

> **Trade:** buy below €22; add on a Q3 print ≥3% organic growth; stop / review below €17 (bear-case value).

A "laundry-as-a-service" utility: €4.8bn revenue, ~87% recurring, 35% EBITDA margin

How each division contributes (FY2025)

Segment	Revenue €m	Share	Organic	Adj. EBITDA mgn
France	~1,401	~29%	+3.3%	41.9%
Central Europe	~1,242	~26%	+3.0%	32.9%
Scandinavia & E. Europe	~640	~13%	+1.9%	35.5%
UK & Ireland	~580	~12%	+2.6%	32.4%
Latin America	~458	~10%	+8.2%	33.6%
Southern Europe	~451	~9%	+6.7%	33.7%
Group	**4,796.8**	**100%**	**+3.8%**	**35.4%**

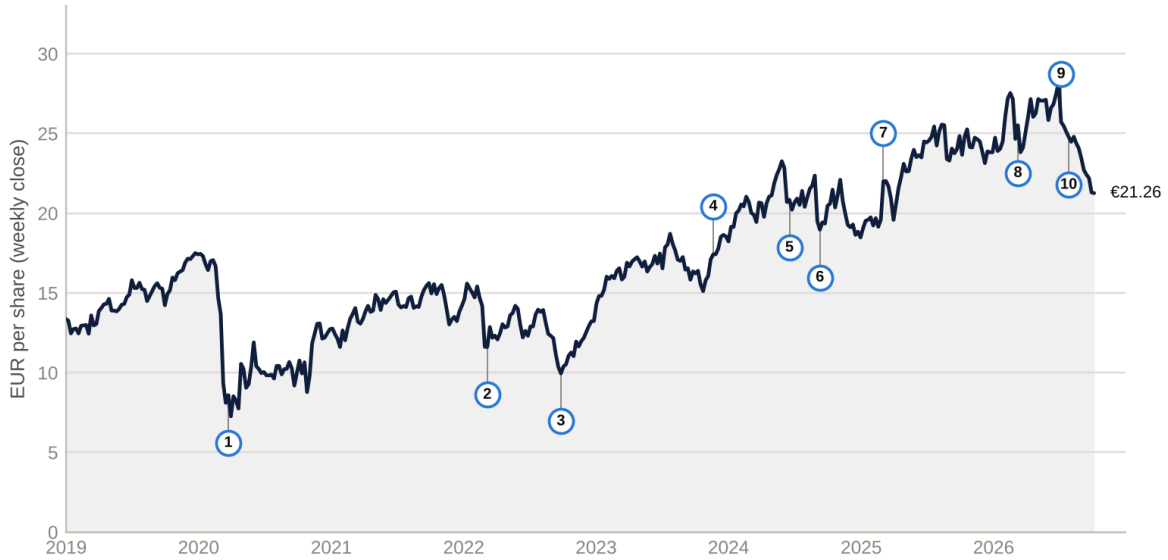
Segment revenues from the regional profiles in the FY2025 URD; segment EBITDA margins from the FY2025 results release. Group revenue linked to S&P Capital IQ.

What it does and why it is defensible

- Rents, launders and delivers flat linen (~45%), workwear (~36%) and hygiene / well-being equipment (~17%) in 31 countries; 70% of revenue outside France.
- Customers: healthcare ~30%, hospitality 27%, industry ~26%, trade & services ~18%; top-10 clients <10% of revenue, largest contract <1%.
- Moat = route density: a full van and a full laundry. #1, #2 or #3 in most countries and #1 in more than half.
- Weak points: labour is ~60% of costs and energy 6–7% of revenue; capex runs at ~18% of sales; cost inflation is passed on only with a lag.

> Economic profile: ROIC ~7% on EBITA after tax; free cash flow after leases is only ~21% of EBITDA.

What moved the stock: ten catalysts since 2020

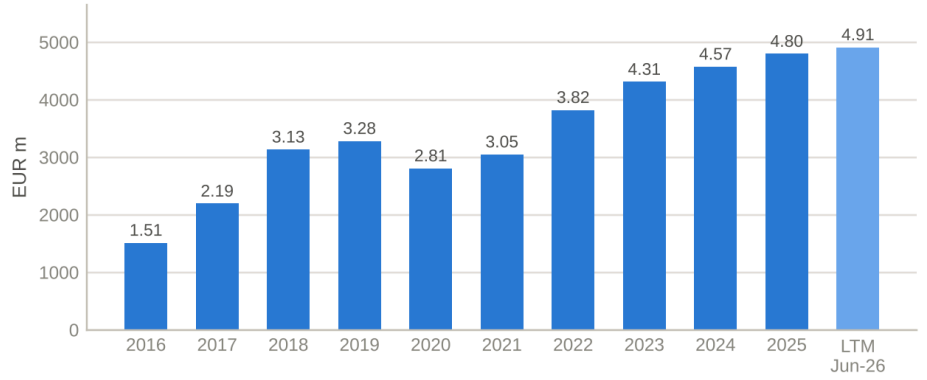


#	When	What happened
1	MAR 2020	Covid crash: -58% peak-to-trough; FY2019 dividend withdrawn
2	FEB-MAR 2022	Ukraine war / gas-price shock: -29% in four weeks
3	SEP 2022	5-year low €9.91; OCEANE 2029 convertible issued (€380m, 2.25%)
4	NOV 2023	S&P upgrade to investment grade (BBB-)
5	JUN 2024	French snap election: about -15%
6	SEP-OCT 2024	Exploratory US M&A talks (incl. Vestis): -21%, then +17% when terminated
7	MAR 2025	New capital-allocation policy + €150m buyback: +9% on the day
8	MAR 2026	Mid-East energy shock; €500m buyback (to Jul-26); Cintas-UniFirst deal
9	JUL 2026	All-time high €28.20 (3-Jul) as buyback completes
10	JUL-SEP 2026	H1-26: targets only confirmed, Mexico loss, FCF negative: -25% from high

Source: ProntoNLP getStockPrices (Elis, companyId 27989, weekly closes; series partly dividend-adjusted); event dates from Elis filings and transcripts via ProntoNLP.

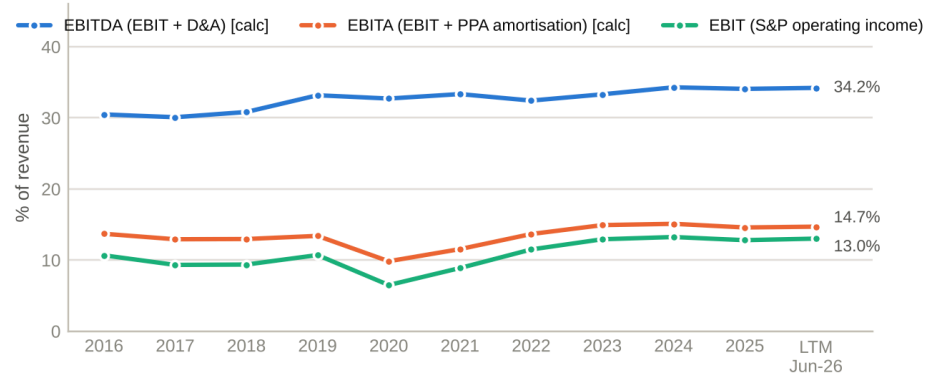
Revenue +57% since 2021; adjusted EBITDA margin up from 33.0% (2022) to 35.4%

Revenue, FY2016–LTM Jun-2026 (labels in EUR bn)



Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

Margin history



Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

EUR m	FY2021	FY2023	FY2024	FY2025	LTM Jun-26
Revenue	3,048.3	4,309.4	4,573.7	4,796.8	4,910.8 (S&P, link n/a)
Adj. EBITDA (co.)	1,052.1	1,474.8	1,609.8	1,700.1	1,740.1
Adj. EBITDA margin	34.5%	34.2%	35.2%	35.4%	35.4%
Cash from operations	961.6	1,325.6	1,452.1	1,510.6	1,486.4 (S&P, link n/a)
Capex	−552.8	−797.1	−860.8	−864.0	−915.8 (S&P, link n/a)
Headline diluted EPS (€)	n/a	n/a	1.76	1.85	1.89
Dividend per share (€)	0.37	0.43	0.45	0.48	

S&P Capital IQ standardised statements (linked to the Capital IQ document viewer where returned); company-defined adjusted EBITDA and headline EPS from Elis releases via ProntoNLP. FY2021 DPS €0.37 from the FY2021 results via ProntoNLP (source link unavailable in this table). LTM = S&P LTM to 30-Jun-2026.

> Capex intensity (~18% of sales) is the price of the moat: linen is an asset that wears out. The equity story is FCF growth, not revenue growth.

H1 2026: targets confirmed, quality disappointed, tone at a six-year low

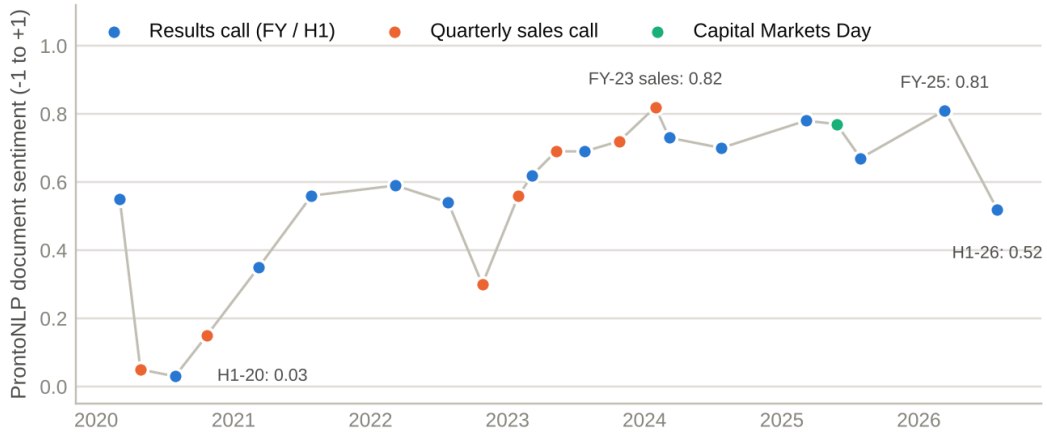
H1 2026 (reported 29-Jul-2026)

Metric	H1 2026	Change
Revenue	€2,457.1m	+4.9%; organic +3.2%
Adjusted EBITDA margin	34.7%	flat
Headline diluted EPS	€0.89	+5.1%
Free cash flow (after leases)	−€30.1m	seasonal WC, capex peak
Net debt / EBITDA	2.09x	+0.34x in six months (buyback)
Buyback	€466.8m @ €26.25	7.6% of capital

Sources: H1 2026 call; H1 2026 report. Market reaction: −5.7% on day 1 (z-score −3.6), −18.4% to 9-Oct [calc from ProntoNLP prices].

- FY2026 guidance (11-Mar-2026, FY2025 call) reaffirmed: organic growth slightly below 3.8%, slight margin expansion, high-single-digit headline EPS growth (≈€1.98–2.02), mid-single-digit FCF growth, leverage ~1.65x.
- Negatives: Mexico tender loss (~€14m), German minimum wage, French hospitality softness, H1 FCF negative.

Earnings-call sentiment, 2020–2026



Source: ProntoNLP getDocuments document-level sentimentScore for Elis SA calls (companyId 27989); see provenance M-005 and A_earnings.

Sentiment is low on margins and cash; the "strategic position" aspect barely moved. We read this as a cyclical, not structural, disappointment.

Base case: headline EPS +8% a year to €2.34 in 2028

EUR m	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	4,796.8	5,002	5,242	5,504
Organic growth	3.8%	~3.3%	3.8%	4.0%
Adj. EBITDA	1,700.1	1,773	1,866	1,968
Adj. EBITDA margin	35.4%	35.4%	35.6%	35.8%
Adj. EBIT	766.6	798	849	903
Headline diluted EPS (€)	**1.85**	**1.96**	**2.14**	**2.34**
DPS (€)	0.48	0.51	0.55	0.60
FCF after leases	358.6	~375	~405	~440
P/E at €21.26	11.5x	10.8x	9.9x	9.1x

Analyst estimates [e]; model/main_forecast.py. FY2025A from Elis releases via ProntoNLP and S&P Capital IQ.

Scenario EPS (headline, diluted)

	FY2026E	FY2027E	FY2028E
Bear	€1.91	€1.91	€1.95
Base	**€1.96**	**€2.14**	**€2.34**
Bull	€2.00	€2.27	€2.64

- Building blocks: ~3.5–4% organic growth, +1pt bolt-on M&A, 20–30bp a year of margin, buybacks cutting the share count ~2% a year.
- Versus guidance: FY2026E €1.96 (+5.9%) is ~2% below the guided mid-point because H1 grew only +5.1%. No forward EPS consensus is available in the permitted sources.
- Swing factors: ±1pt organic ≈ ±€1.5/share; ±50bp EBIT margin ≈ ±€1.9/share [calc].

Investment-grade balance sheet; the OCEANE conversion is the next deleveraging step

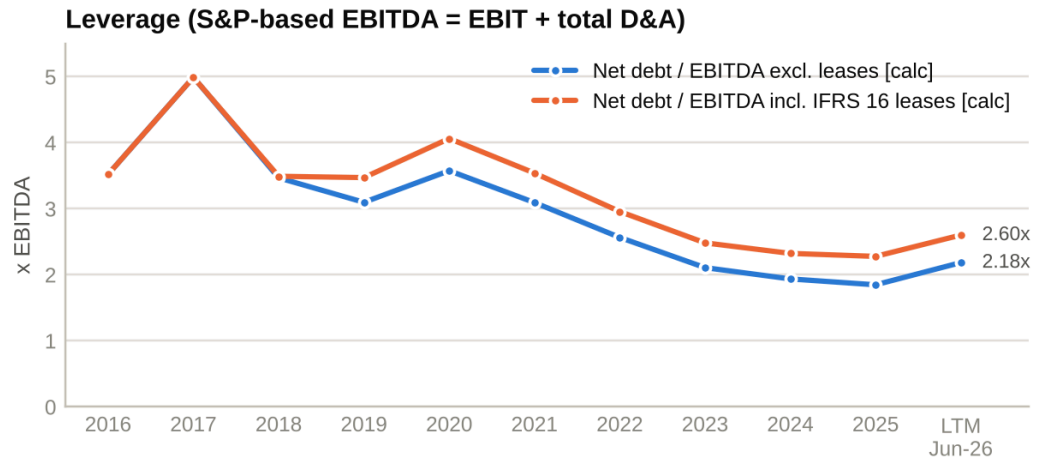
€3,670m
Net debt excl. leases, 30-Jun-2026

2.09x
Leverage (covenant 3.75x)

€1.35bn
Liquidity: €447m cash + €900m undrawn RCF

BBB- / Baa3
S&P / Moody's, both stable

€380m
OCEANE 2029, 2.25%; conversion ~€20.8 trigger [calc]

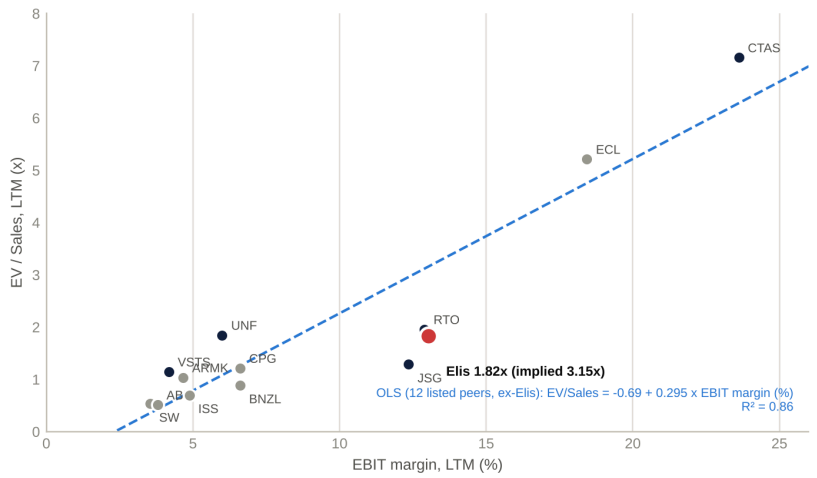


Source: S&P Capital IQ (Elis SA, C_27989) — source link unavailable; analyst calculations [calc].

- Maturities are well spread: next bond (€300m, May-2027) already pre-funded by the €600m 3.875% EMTN of Mar-2026.
- The soft call can be exercised from 13-Oct-2026 if the share trades above 130% of the conversion price (~€20.8 [calc]); with the stock near the trigger, the convertible holder base is a natural buyer of weakness.
- Management plans to settle conversion with bought-back treasury shares (~16.9m held at 30-Jun-2026): little net dilution and ~€362m (debt component) lower net debt.
- Policy: −0.1x of leverage a year; all excess cash to shareholders. Leases (~€700m, IFRS 16) are excluded from covenant leverage.
- Cost of debt: the 2019–21 bonds (1.6–2.7%) are being refinanced at 3.4–3.9%; each +100bp on ~€1bn of refinancing ≈ €10m pre-tax [calc]. Sources: H1 2026 report, FY2025 call.

S&P Capital IQ balance sheets (FY2016–25; 30-Jun-2026 interim); leverage on company-adjusted EBITDA [calc].

Elis trades at 1.82x sales vs 3.15x implied by its own margin



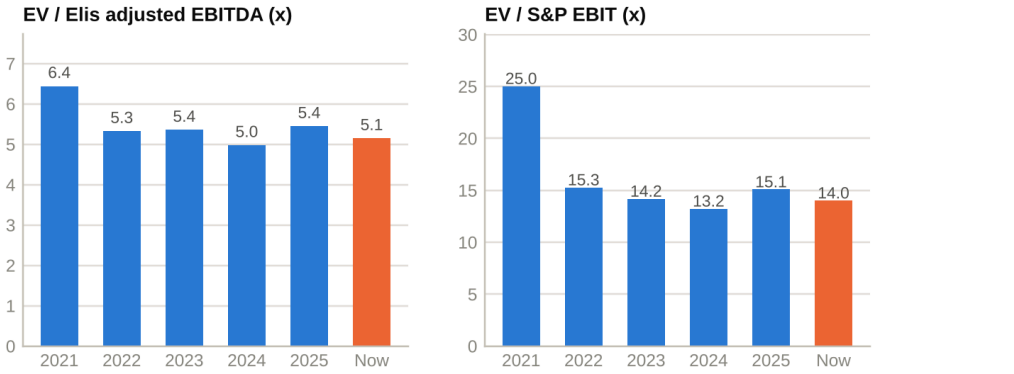
Source: S&P Capital IQ LTM financials (S&P-standardised EBIT, net debt incl. leases); ProntoNLP market caps; analyst regression [calc]. Navy = direct textile/hygiene-service peers; grey = broader services.

EV/Sales = -0.69 + 0.295 × EBIT margin (%), R² 0.86, n = 12. S&P Capital IQ LTM financials; market caps from ProntoNLP / S&P [calc].

Company	EV/Sales	EV/EBITDA	P/E	EBIT margin
Elis SA	**1.8x**	**5.9x**	**12.2x**	**13.0%**
Cintas Corporation	7.2x	26.6x	39.0x	23.6%
Ecolab Inc.	5.2x	21.2x	37.3x	18.4%
Compass Group PLC	1.2x	15.4x	24.8x	6.6%
ISS A/S	0.7x	12.9x	16.3x	4.9%
Aramark	1.0x	14.2x	37.8x	4.7%
Rentokil Initial plc	2.0x	11.1x	21.5x	12.9%
Bunzl plc	0.9x	10.8x	17.3x	6.6%
Sodexo S.A.	0.5x	11.1x	18.6x	3.5%
UniFirst Corporation	1.8x	15.7x	40.5x	6.0%
ABM Industries Incorporate	0.5x	10.2x	17.5x	3.8%
Vestis Corporation	1.1x	12.2x	n/a	4.2%
Johnson Service Group PLC	1.3x	4.3x	13.4x	12.4%

S&P-standardised EBITDA (after IFRS 16 adjustments) differs from company adjusted EBITDA; Elis 5.2x on company basis. Private peers (Alsco, Lindström, CWS, Mewa, Salesianer) not shown.

Target €26: three methods on FY2027E, at mid-range multiples



Year-end price x shares + S&P net debt incl. leases; current = 215.9m shares x €21.26 + net debt €3,670m + leases €700m [calc]. Early-year prices partly dividend-adjusted.

Year-end prices (ProntoNLP) on S&P Capital IQ financials [calc]; current = 9-Oct-2026.

Method	Multiple	Value / share
P/E on FY2027E headline EPS €2.14	12.5x	€26.8
EV/EBITDA FY2027E (post-OCEANE)	5.5x	€27.2
FCF yield FY2027E	7.0%	€23.4
Blended target		**€26.0 (+22%)**
Takeover value (6.5–7.5x LTM EBITDA)		€30–38

- Five-year range: 5.0–6.4x EV/adjusted EBITDA (5.1x today); headline P/E 10.5x–12.9x since 2024. We use 5.5x and 12.5x.
- Transactions: Cintas–UniFirst ~19x EBITDA (2026); Elis's Indusal / Lavebras at 7–8x; bolt-ons at ~5x EBITDA.
- Every €1 of P/E multiple is worth ~€2.1/share; every 0.5x EBITDA ~€4/share [calc].

A ~20% family holder, an active sector, and a stock below its holder's entry price

Who owns it

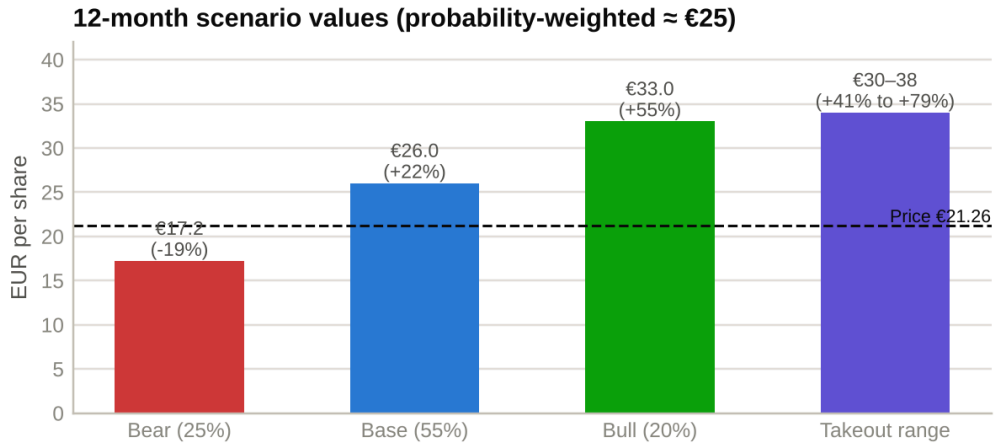
Holder	Stake	Note
BWSA / BWGI (Moreira Salles)	≥18.3% (~20% votes)	Bought 7.0m CPP shares at €25.00, Feb-2026; 25% standstill; 2 board seats
Invesco	>10%	Crossed 5% Nov-2025, 10% Jul-2026
Treasury shares	~7.3%	~16.9m; earmarked for OCEANE conversion
Wellington	~5%	Around the threshold
CPP Investments	<5%	Exiting (11.9% in 2025)
Insiders / employees	~3.0%	FCPE, direct, vested PS

AMF threshold declarations, URD and H1 2026 report via ProntoNLP (FY2025 URD). Full top-10 register and short interest not available in permitted sources. No activist campaign found.

Is Elis a target?

- Takeover value €30–38 (6.5–7.5x EBITDA); a buyer would pay up for route density in 30 countries.
- Obstacles: ~€9.0bn EV, a 25% standstill on BWSA, and 49.7m shares with double voting rights (31-Dec-2025).
- More likely: BWSA creeping towards (but not through) 25%, a sale of its block to a strategic, or Elis as a buyer (US entry).
- Elis as acquirer: Berendsen (~£2.2bn, 2017), Lavebras / Indusal at 7–8x EBITDA, bolt-ons at ~5x (2025: €91m revenue for €108m). Risk: a large US deal (2024 talks).

Asymmetric: −19% to the bear case, +22% base, +55% bull; probability-weighted €25



Analyst estimates [e]; see Section 20.

	Bear (25%)	Base (55%)	Bull (20%)
Organic growth 2027E	~2.0%	3.8%	~5.0%
Adj. EBIT margin 2027E	15.4%	16.2%	16.5%
Headline EPS 2027E	€1.91	€2.14	€2.27
OCEANE	Not converted	Converted Q4-26	Converted + €200m buybacks
Multiple	9.0x P/E	12.5x P/E	14.5x P/E
Value per share	**€17.2**	**€26.0**	**€33.0**
vs €21.26	−19%	+22%	+55%

The bear case still assumes no dividend cut and investment-grade financing. Takeover value (€30–38) sits above the bull case.

Four risks that could make the stock cheap for a reason

01 Organic growth slows below 3%

Pricing normalises after the inflation years while volumes in French hospitality and German industry stay soft. Each 1pt ≈ €1.5/share.

02 Labour and energy outrun indexation

Labour is ~60% of costs; 2026 minimum wages +23% in Colombia, +13% in Mexico, a large rise in Germany; energy shocks (2022, 2026) hit margins for 2–3 quarters before price catches up.

03 A large leveraging acquisition

US entry ambitions (2024 Vestis talks) cost 21% in four days. A big deal would reset leverage above 3x and pause buybacks.

04 Capital intensity hides low returns

ROIC is ~7%: the short-seller view is that cheapness is deserved; FCF after leases is only ~21% of EBITDA.

Pre-mortem (Oct-2027, the stock is €15): Q3/Q4 organic growth printed ~2%, Mexico and Germany worsened, the OCEANE was not converted, BWSA stopped buying and a 2027 French election shock cut the multiple to 9x. **Mitigant:** stop-review below €17.

Catalysts: the soft call and Q3 revenue come first

13-OCT-2026 ONWARDS	**OCEANE 2029 soft call window opens**	Conversion into treasury shares: −€362m net debt, leverage ~1.65x	High
28-OCT-2026	**Q3 2026 revenue**	Proof of the H2 organic acceleration; Mexico, France, energy pass-through	High
21-OCT / 6-NOV-2026	**UniFirst FY26 and Rentokil Q3 results**	US and European read-across on demand and pricing	Medium
FROM 11-DEC-2026	**Cintas–UniFirst closing ($5.5bn)**	US consolidation; re-rating read-across for the sector	Medium
Q4 2026	**Annual price / index negotiations**	Sets the 2027 "super nice price increase" and margin path	High
EARLY MAR-2027	**FY2026 results and 2027 guidance**	Dividend, new buyback, FCF delivery vs €380–400m guide	High
APR–MAY 2027	**French presidential election**	~30% of revenue in France; the 2024 snap election cost ~15%	Medium
LATE JUL-2027	**H1 2027 results**	Margin recovery and FCF seasonality	Medium

Dated events from ProntoNLP upcoming-event listings, the H1 2026 report and the FY2025 URD; "early/late" dates are estimates [e] from prior-year patterns (model/D_catalyst_calendar.csv).

What we would ask the CEO and the Chairman before sizing up

CEO (Xavier Martiré)

- If the share price is below €20.8 on the soft-call date, what is plan B for leverage, the 2027 buyback and the €380m OCEANE?
- What organic growth do the record 2026 signings imply for 2027, and how much is price vs volume?
- Why did H1 FCF turn negative, and what gets H2 to €390m+?
- Under what conditions would you again pursue a large US or European acquisition, at what leverage?
- How much of the 2026 minimum-wage increases in Germany, the UK and LatAm is still unrecovered?

Chairman of the Supervisory Board

- Is BWSA/BWGI a long-term investor capped at 25%, or a potential controlling holder?
- What would the board do with an unsolicited bid at €30–35?
- How is management's long-term incentive linked to ROIC and FCF per share, not revenue?
- After the Sep-2026 Management Board renewal and Matthieu Lecharny's departure, what is the succession plan?
- Would the board support cancelling treasury shares rather than holding ~10% of capital?

Full list of 15 questions in Section 21 of the research report.

Recommendation: BUY a starter position, add on Q3 delivery

BUY	€26	€17	+22% / −19%
Event-driven, medium conviction	Target (+22%); takeover €30–38	Bear value / stop-review level	Upside to base vs downside to bear

Position plan

- Initial 1.5% of NAV below €22; scale to 3% after a Q3 print with ≥3% organic growth and confirmation of the soft call.
- Hedge option: pair against a basket of European business-services peers to isolate the stock-specific event.
- Exit / review: target €26; review the thesis below €17 or on a large US acquisition announcement.

What would change our mind

- Organic growth below 2.5% for two consecutive quarters.
- Leverage above 2.5x without a matching acquisition.
- A dividend cut or suspension of the capital-return policy.
- Evidence that BWSA is selling.

For institutional investors. Data only from S&P Global Capital IQ and ProntoNLP; [calc] analyst calculation, [e] estimate, [u] unverified. Full analysis: Elis_ELIS_FP_Equity_Research_Report.pdf. Every connector call and raw response: ELIS_FP/provenance.